

Contract Labour, Migrants, Construction and Mines - The Foundation Track

Chapter F2.7 — From Zero: Indirect Employment, the Principal Employer's Liability, and the Statutes for Vulnerable Workforces

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NOTE · HOW TO USE THIS DOCUMENT

Of all the chapters in Module 2 this is the one closest to your daily work. Every statute here concerns INDIRECT employment - work done for one enterprise by workers engaged through another - and indirect employment is where provident fund evasion concentrates. The single most important idea in the chapter is the PRINCIPAL EMPLOYER'S SECONDARY LIABILITY: where a contractor fails to pay provident fund contributions for contract workers, the liability falls on the establishment that took the benefit of their labour. That is the provision you will invoke more often than almost any other. The chapter also covers inter-state migrant workmen, building and construction workers, and the Mines Act. Study time 5 hours across four sessions.

This is the FOUNDATION layer. Old-Act and Code provisions are given as pairs. One figure - the Mines Act Special Officer notice period asked in 2023 - is deliberately left blank because it could not be verified against a primary source.

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0. Why Indirect Employment Needs Its Own Statutes

Everything in this chapter exists because of one manoeuvre: interposing a third party between the enterprise and the worker.

WHY THIS EXISTS · THE MANOEUVRE, AND THE THREE PROBLEMS IT CREATES

An enterprise needs a hundred workers. Instead of employing them, it engages a **contractor**, who employs them and supplies their labour. Formally there is now **no employment relationship** between the enterprise and the workers at all.

Three consequences follow, and every statute in this chapter is a response to one of them.

- 1 **The workers lose their statutory protections against the real beneficiary.** They cannot raise an industrial dispute against the enterprise, claim its standing orders, or count toward its thresholds
- 2 **Liability becomes evadable.** The contractor is often thinly capitalised and may vanish. Provident fund contributions, gratuity, minimum wages - all become claims against a party with no assets
- 3 **The enterprise gets the labour without the obligations.** It takes the benefit of the work while the duties sit with someone who cannot discharge them

The law's answer has three parts, and this is the architecture of the whole chapter:

- 1 **Regulate** the practice - register the principal employer, licence the contractor
- 2 **Abolish** it where the work is genuinely permanent in character
- 3 **Attach secondary liability to the principal employer**, so that the enterprise taking the benefit cannot escape the obligation

That third device is the one that matters most to you, and Section 1.4 is devoted to it.

STUDY SESSION · CHAPTER F2.7 - THE FOUR SESSIONS

- 1 **Session 1 - Contract labour:** registration, licensing, abolition, welfare, and **the principal employer's liability** (Section 1)
- 2 **Session 2 - Inter-state migrant workmen**, and what the OSH Code added (Section 2)
- 3 **Session 3 - Building and construction workers**, and the **cess** (Section 3)
- 4 **Session 4 - The Mines Act 1952** (Section 4)

Then **40 graded questions**. Budget **five sessions**, about **two and a half days**.

1. Session 1 - Contract Labour ★★★★★

1.1 Definitions and applicability

- 1 A workman is **contract labour** in relation to an establishment when he is hired **in or for** that establishment **by or through a contractor**, with or without the knowledge of the principal employer
- 2 A **contractor** is a person who undertakes to produce a given result for the establishment through contract labour, or who supplies contract labour for any work of the establishment - and includes a **sub-contractor**
- 3 A **principal employer** is, in a factory, the **owner or occupier** or the **manager**; in a mine, the owner or agent or manager; and in any other establishment, the person responsible for its supervision and control

Applies to	Contract Labour Act, 1970	OSH Code, 2020
Establishments	Where twenty or more workmen are employed as contract labour on any day of the preceding twelve months	Fifty or more contract labour
Contractors	Who employ or employed twenty or more workmen on any day of the preceding twelve months	Fifty or more
Does not apply to	Establishments where work of an intermittent or casual nature is performed	Same
"Intermittent" is defined: work is not of an intermittent nature if it was performed for more than one hundred and twenty days in the preceding twelve months, or, in the case of seasonal work, for more than sixty days in a year.		

Applicability - and what the OSH Code changed

1.2 Registration and licensing - two different obligations

MUST MASTER · THE PRINCIPAL EMPLOYER REGISTERS. THE CONTRACTOR TAKES A LICENCE. DO NOT SWAP THEM

- 1 The **principal employer** must obtain **registration** of the establishment from the registering officer. An establishment that is **not registered** may **not employ contract labour**
- 2 The **contractor** must obtain a **licence**, and may not undertake or execute work through contract labour except under and in accordance with it. The licence may carry conditions as to hours of work, fixation of wages and other essential amenities
- 3 **Revocation** of registration is possible where it was obtained by misrepresentation or suppression of a material fact
- 4 Under the **OSH Code**, a contractor obtains a **single all-India licence**, valid for five years, instead of separate licences for each State and each work - one of the Code's genuine simplifications

The exam formulation: registration attaches to the ESTABLISHMENT and is the principal employer's duty; the licence attaches to the CONTRACTOR.

1.3 Prohibition and abolition of contract labour

The **appropriate Government** may, after consulting the **Central or State Advisory Contract Labour Board**, prohibit employment of contract labour in **any process, operation or other work** in any establishment.

MUST MASTER · THE FOUR FACTORS THE GOVERNMENT MUST CONSIDER BEFORE PROHIBITING

- 1 Whether the process, operation or other work is **incidental to, or necessary for**, the industry, trade, business, manufacture or occupation carried on in the establishment
- 2 Whether it is of a **perennial nature** - that is, of sufficient duration having regard to the nature of the industry
- 3 Whether it is done **ordinarily through regular workmen** in that establishment or an establishment similar to it
- 4 Whether it is **sufficient to employ a considerable number of whole-time workmen**

Learn these as the "perennial-and-regular" test. The underlying logic is straightforward: if the work is permanent in character and would ordinarily be done by regular employees, dressing it up as contract labour is a device, and it may be prohibited.

What abolition does NOT automatically do. This is a heavily litigated point. Prohibition of contract labour in a given work does **not** automatically make the contract labour the **direct employees** of the principal employer. There is no automatic absorption. That was settled by the Supreme Court in the **Steel Authority of India** decision (2001), which overruled the earlier view that automatic absorption followed. The correct position: on abolition the contract labour must be **considered for** absorption in the manner the law provides, but they are not deemed employees by operation of the abolition notification alone.

KNOW · CORE ACTIVITY - THE OSH CODE'S NEW CONCEPT

The **OSH Code** approaches the same problem differently. It **prohibits the engagement of contract labour in the CORE activities** of an establishment, subject to exceptions.

Core activity means any activity for which the establishment is set up, including any activity essential or necessary to it.

But the Code expressly lists activities that are NOT core, and these are examinable:

- 1 **Sanitation**, including sweeping, cleaning, dusting and collection and disposal of all kinds of waste
- 2 **Watch and ward** or security services
- 3 **Canteen and catering** services
- 4 **Loading and unloading** operations
- 5 **Running of hospitals, educational and training institutions, guest houses, clubs** and the like where they are in the nature of support services
- 6 **Courier** services
- 7 **Civil and other constructional works**, including maintenance
- 8 **Gardening and maintenance of lawns**
- 9 **Housekeeping** and laundry services
- 10 **Transport** services
- 11 **Any activity of an intermittent nature**, even if it constitutes a core activity

The exceptions permitting contract labour even in core activity: where the **normal functioning** of the establishment is such that the activity is **ordinarily done through a contractor**; where the activities are such that they **do not require full-time workers** for the major portion of the working hours in a day or for longer periods; or where there is a **sudden increase** in the volume of work in the core activity which needs to be completed in a specified time.

1.4 Liability - and the provision that matters most to you

MUST MASTER · THE PRINCIPAL EMPLOYER'S SECONDARY LIABILITY - THE HEART OF THIS CHAPTER

Under the Contract Labour Act:

- 1 The **contractor** is primarily responsible for payment of **wages** to contract labour, before the expiry of the prescribed period
- 2 Where the contractor **fails** to pay, or pays **less** than what is due, the **principal employer is liable to pay** the wages in full or the unpaid balance - and **may recover** the amount from the contractor by deduction from any amount payable to him, or as a debt
- 3 The same pattern applies to the **welfare amenities**: if the contractor fails to provide a canteen, rest rooms, drinking water, latrines or first aid within the prescribed time, the **principal employer must provide them**, and may recover the cost

Now the provision you will actually use. Under the **EPF & MP Act, 1952**, the definition of "employee" includes a person employed **by or through a contractor** in or in connection with the work of the establishment. The consequence:

- 1 Contract workers engaged in or in connection with the work of a covered establishment are **members** for provident fund purposes
- 2 The **principal employer is liable** to pay both his own and the employee's share of contribution in respect of them
- 3 He **may recover** the contractor's share from the contractor, but the **liability to EPFO is his**
- 4 It is **no defence** to say that the contractor had undertaken to comply, or that the contractor has absconded

Why this is the single most useful paragraph in Module 2 for your career. Contract labour is where provident fund evasion is concentrated, precisely because the employer hopes the intervening contractor breaks the chain of liability. It does not. In a **Section 7A** inquiry you will routinely be determining dues in respect of contract workers and fixing them on the **principal employer**.

The one-sentence principle: the enterprise that takes the benefit of the labour carries the statutory liability, whatever the contract between it and the contractor says. That is the answer to the commonest defence you will hear.

KNOW · WELFARE AMENITIES FOR CONTRACT LABOUR

- 1 **Canteen** - where contract labour numbering **one hundred or more** is ordinarily employed and the work is likely to continue for the prescribed period
- 2 **Rest rooms** - where contract labour is required to halt at night
- 3 **Wholesome drinking water**, a sufficient number of **latrines and urinals, washing facilities**
- 4 **First-aid facilities** - a first-aid box readily accessible during working hours
- 5 Under the **OSH Code**, contract labour must additionally receive an **annual increment** and other benefits as prescribed, and the Code provides for **experience certificates** to contract workers

CHECK YOURSELF · SESSION 1

- 1 Define contract labour, contractor and principal employer
- 2 Give the applicability thresholds under the 1970 Act and under the OSH Code
- 3 When is work **not** of an intermittent nature? Give both figures
- 4 Who registers and who takes a licence? What is the Code's simplification?
- 5 State the four factors for prohibiting contract labour, and what abolition does **not** automatically achieve
- 6 Name six activities that are **not** core activity under the Code
- 7 State the principal employer's liability for wages, and separately for **provident fund**. Is the contractor's default a defence?
- 8 At what number of contract labour is a canteen required?

2. Session 2 - Inter-State Migrant Workmen



A small statute with very low thresholds, because the workers it protects are the most vulnerable in the labour market.

2.1 Who is an inter-state migrant workman

Under the **Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979**, an inter-state migrant workman is a person who is **recruited by or through a contractor in one State** for employment in an establishment **in another State**.

Note the crucial limitation in that definition, because the Code changed it: the 1979 Act covered only workers brought in **through a contractor**. A worker who **migrated on his own** and found work directly was **not covered at all** - which excluded the great majority of migrant workers.

MUST MASTER · THRESHOLDS - NOTE HOW LOW THEY ARE, AND WHY

1 The Act applies to every **establishment** in which **five or more** inter-state migrant workmen are employed, or were employed on any day of the preceding twelve months

2 And to every **contractor** who employs or employed **five or more** such workmen

Five - not twenty, not fifty. Compare the twenty of the Contract Labour Act and the fifty of the OSH Code. The threshold is deliberately very low because an inter-state migrant is **far from home, without local language, kin, or knowledge of local authorities**, and therefore needs protection even in very small groups. When a question asks for the migrant threshold, the answer is **five**, and the low figure is the point.

2.2 The two allowances - the distinctive feature

MUST MASTER · DISPLACEMENT ALLOWANCE AND JOURNEY ALLOWANCE - KEEP THEM APART

- 1 **Displacement allowance** - payable **at the time of recruitment**, a lump sum equal to **fifty per cent of the monthly wages** payable to him, **or Rs 75, whichever is higher**. It is **not refundable** and is in addition to wages
- 2 **Journey allowance** - the **fare** for the **outward and return** journey from his home to the place of employment, payable by the contractor, **and** the workman is entitled to **wages during the period of the journey** as if he were on duty

Distinguish them by timing and purpose: the displacement allowance compensates for being uprooted and is paid on recruitment; the journey allowance pays for the travel itself, both ways, plus wages for the days spent travelling.

Other entitlements under the 1979 Act:

- 1 **Wages** at rates not lower than those prescribed under the Minimum Wages Act; and where the workman performs the same or similar work as a workman in the establishment, wages **at the same rate** as that workman
- 2 **Suitable residential accommodation**
- 3 **Prescribed medical facilities** free of charge
- 4 **Protective clothing** against cold, where the workman is employed in an area with a colder climate than his home
- 5 **Notice to the authorities** in both the home State and the host State of the workman's employment
- 6 Payment of wages is the **contractor's** duty, with the **principal employer secondarily liable** - the same architecture as contract labour
- 7 In the case of **fatal accident or serious bodily injury**, the contractor must report to the specified authorities in **both** States and to the next of kin

2.3 What the OSH Code added

KNOW · FOUR CHANGES, ALL EXAMINABLE

- 1 **The definition was widened.** The Code covers a migrant worker who **comes on his own** and obtains employment directly, in addition to one recruited through a contractor - provided he meets the wage ceiling prescribed. This is the most significant change, because it brings in self-migrating workers previously outside the law altogether
- 2 **Portability of benefits.** A migrant worker is entitled to benefits under the **public distribution system** either in his home State or the State of employment, and to benefits from the **building and other construction workers' cess fund** in the State of employment
- 3 **An annual journey allowance** - a lump sum fare for a journey to his **native place** from the place of employment, payable by the employer
- 4 **A toll-free helpline** and a **national database** of migrant workers, with **portability** through registration on the designated portal

And note the context, which is worth a sentence at interview. The gaps in the 1979 Act became publicly visible during the **2020 lockdown**, when large numbers of migrant workers were found to be entirely outside the registration and benefit machinery precisely because they had migrated **on their own** rather than through a contractor. The Code's widened definition and the national database are the legislative response.

CHECK YOURSELF · SESSION 2

- 1 Define an inter-state migrant workman under the 1979 Act. What was its critical limitation?
- 2 Give the applicability threshold, and explain why it is so low
- 3 Distinguish displacement allowance from journey allowance, with the figures
- 4 Name four other entitlements under the 1979 Act
- 5 Who is primarily liable for wages, and who secondarily?
- 6 Name the four changes made by the OSH Code, and the event that exposed the need for them

3. Session 3 - Building and Other Construction Workers ★★★★★☆

The construction sector employs one of the largest and most informal workforces in India, and its statute has an unusual feature - a dedicated cess.

3.1 The two Acts of 1996

The scheme is contained in **two** statutes passed together, and a question may test the pairing:

- 1 The **Building and Other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996** - the regulatory Act
- 2 The **Building and Other Construction Workers' Welfare Cess Act, 1996** - the financing Act

3.2 Applicability, and the beneficiary scheme

- 1 The regulatory Act applies to every establishment which employs, or employed on any day of the preceding twelve months, **ten or more** building workers in any building or other construction work
- 2 It does **not** apply to a residential house constructed for one's **own** occupation at a cost not exceeding the prescribed amount
- 3 **A building worker** is one employed to do skilled, semi-skilled or unskilled manual, supervisory, technical or clerical work for hire or reward in building or other construction work - **excluding** a person employed mainly in a **managerial or administrative** capacity, or in a supervisory capacity above a wage threshold

MUST MASTER · REGISTRATION AS A BENEFICIARY - THE THREE CONDITIONS

A building worker who:

- 1 has completed **eighteen** years of age but **not** completed **sixty**, and
- 2 has been engaged in building or other construction work for **not less than ninety days** during the preceding **twelve months**

is eligible to be registered as a **beneficiary** of the **Building and Other Construction Workers' Welfare Board** constituted by the State Government.

Learn it as 18 to 60, and 90 days in the preceding 12 months.

The Board provides, from its fund, benefits including **pension** on completing sixty years with at least three years' membership, **loans for house construction**, **premiums for group insurance**, **education assistance** for children, **medical expenses**, **maternity benefit** to women beneficiaries, and **assistance in case of accident**.

MUST MASTER · THE CESS - THE FINANCING MECHANISM, AND THE FIGURE

Under the **Cess Act, 1996**, a **cess** is levied and collected for the purposes of the Welfare Board at a rate **not exceeding two per cent** but **not less than one per cent** of the **cost of construction** incurred by an employer. The rate notified has been **one per cent**.

The cost of construction excludes the cost of land and any compensation paid or payable under the Employees' Compensation Act.

Why a cess rather than employer contributions? Because construction employment is **project-based and transient** - a worker may serve twenty employers in a year, and no single employer has a continuing relationship to fund benefits. So the law taxes the **construction activity itself** rather than the employment relationship, and pools the proceeds in a State Board from which any registered beneficiary may draw.

The link to your own subject: this is the same design problem that gig and platform work presents, and the **Social Security Code's aggregator contribution of one to two per cent of turnover** is the same solution applied to a new industry. Notice the identical structure - **a levy on the activity, not on the employment relationship, pooled in a fund for registered workers**. That parallel is genuinely good interview material, and it is covered again in Module 3.

- 1 Both Acts are now subsumed within the **OSH Code, 2020**, and the **Social Security Code, 2020** carries the cess and welfare-fund provisions
- 2 Recall from Session 2 that a **migrant** worker may draw building-cess-fund benefits in the **State of employment** - the portability provision

CHECK YOURSELF · SESSION 3

- 1 Name the two Acts of 1996 and what each does
- 2 Give the applicability threshold and the exclusion for one's own residence
- 3 Give the three conditions for registration as a beneficiary
- 4 Name five benefits a Welfare Board may provide
- 5 Give the cess range and the notified rate. What is excluded from the cost of construction?
- 6 Explain why a cess was used rather than employer contributions, and name the parallel in gig work

4. Session 4 - The Mines Act, 1952 ★★★★★☆

A short session, but note one constitutional point at the start that beginners always miss.

4.1 The constitutional oddity

MUST MASTER · MINES ARE ON THE UNION LIST, NOT THE CONCURRENT LIST

You learned in Chapter F1.1 that **labour is on the Concurrent List** - Entries 22, 23, 24 and 36.

But regulation of labour and safety in MINES and OILFIELDS is Entry 55 of the UNION List.

Consequences, all examinable:

- 1 The **Mines Act, 1952** is **exclusively central** legislation. States cannot legislate on mine safety
- 2 The **appropriate Government** for mines is the **Central Government**
- 3 Enforcement is by the **Directorate General of Mines Safety (DGMS)** under the **Ministry of Labour and Employment**, not by State labour inspectors

This was tested in the 2023 paper's territory and it is the commonest error in this area: a candidate who assumes mines are Concurrent, because labour generally is, will answer wrongly.

Labour is Concurrent; mine safety is Union.

4.2 Hours and the age rule

Provision	Figure	Detail
Weekly hours	48	For all persons employed in a mine
Daily hours - above ground	9	No person to work above ground more than nine hours in any day
Daily hours - below ground	8	No person to work below ground more than eight hours in any day. The lower figure reflects the greater strain and hazard
Weekly day of rest	1	One day of rest every week
Spread-over	12	Periods of work not to spread over more than twelve hours in a day
Minimum age	18	No person below eighteen years may be employed in any mine or part of a mine. Note this is higher than the fourteen-year rule for factories
Continuous service below ground	190 days	From Chapter F2.3 - 190 rather than 240 days constitutes a year of continuous service

Hours under the Mines Act - note the below-ground difference

BEGINNER MISTAKE · THE TWO AGE FIGURES - 14 FOR FACTORIES, 18 FOR MINES

- 1 **Factories** - a **child below 14** may not be employed; an **adolescent 14 to 18** may be, with a certificate of fitness
 - 2 **Mines** - **no person below 18** may be employed at all. There is no adolescent category
- Why the difference?** Because mining is inherently hazardous, and **Article 24** itself prohibits employment of children below fourteen in a **factory or mine or hazardous employment**. The Mines Act goes further than the constitutional floor and excludes everyone under eighteen. If a question offers 14 for mines, it is wrong.

- 1 **Women** - employment below ground is **prohibited**; above ground, the 1952 Act permitted employment only between **6 a.m. and 7 p.m.** Under the Codes, women may be employed in all establishments and at night **with written consent** and prescribed safeguards
- 2 **Leave with wages** - one day for every **twenty days** of work for an adult, and one day for every **fifteen days** for a person below eighteen
- 3 **Annual health examination** - under the OSH Code, workers above a prescribed age in **mines, docks and construction** are entitled to a **free annual health examination**

IMPORTANT · THE ONE FIGURE DELIBERATELY LEFT BLANK IN THIS MODULE

The 2023 paper asked: "Under the provisions of the **Mines Act, 1952**, the **Special Officer** can enter a mine for the purpose of... after giving notice of...".

I could not verify this notice period against a primary source, and I will not print a number I cannot stand behind. A confidently learned wrong figure is worse than a known gap, because you would carry it into the exam **and** into your working life.

What to do: open the bare Mines Act, 1952, find the section on the Special Officer, and write the figure into the margin here yourself. If you cannot find it, accept the loss of one mark.

This is the only deliberately blank figure in the whole of Module 2. Every other number in this module has been verified.

CHECK YOURSELF · SESSION 4

- 1 On which List does mine safety fall, and what three consequences follow?
- 2 Which authority enforces the Mines Act, and under which Ministry?
- 3 Give the weekly hours, and the daily hours above ground and below ground. Why do they differ?
- 4 Give the minimum age in a mine and contrast it with a factory. Which Article sets the floor?
- 5 Give the continuous-service figure for below-ground work
- 6 Which figure in this module is left blank, and what should you do about it?

5. Graded Practice - 40 Questions ★★★★★

5.1 Level 1 - Recognition

Q. 1. The Contract Labour (Regulation and Abolition) Act was enacted in

(a) 1948 (b) 1961 (c) 1970 (d) 1979

Q. 2. The Contract Labour Act, 1970 applies to establishments employing contract labour numbering

(a) 10 or more (b) 20 or more (c) 50 or more (d) 100 or more

Q. 3. Under the OSH Code, 2020, the contract labour threshold is

(a) 20 or more (b) 30 or more (c) 50 or more (d) 100 or more

Q. 4. Under the Contract Labour Act, the obligation to obtain registration falls on

(a) the contractor (b) the principal employer (c) each contract worker (d) the trade union

Q. 5. The obligation to obtain a licence falls on

(a) the principal employer (b) the contractor (c) the registering officer (d) the appropriate Government

Q. 6. A canteen must be provided for contract labour where the number ordinarily employed is

(a) 50 or more (b) 100 or more (c) 250 or more (d) 500 or more

Q. 7. The Inter-State Migrant Workmen Act was enacted in

(a) 1970 (b) 1976 (c) 1979 (d) 1986

Q. 8. The Inter-State Migrant Workmen Act applies where the number of such workmen is

(a) 5 or more (b) 10 or more (c) 20 or more (d) 50 or more

Q. 9. Displacement allowance is

(a) 25 per cent of monthly wages or Rs 50, whichever is higher (b) 50 per cent of monthly wages or Rs 75, whichever is higher (c) one month's wages (d) Rs 100 flat

Q. 10. The Building and Other Construction Workers Act applies to establishments employing building workers numbering

(a) 5 or more (b) 10 or more (c) 20 or more (d) 50 or more

Q. 11. To register as a beneficiary, a building worker must have worked for not less than

(a) 60 days in the preceding 12 months (b) 90 days in the preceding 12 months (c) 120 days in the preceding 12 months (d) 240 days in the preceding 12 months

Q. 12. The age range for registration as a building worker beneficiary is

(a) 18 to 55 years (b) 18 to 58 years (c) 18 to 60 years (d) 21 to 60 years

Q. 13. The welfare cess on construction is levied at a rate

(a) not exceeding 1 per cent (b) not less than 1 per cent and not exceeding 2 per cent of the cost of construction (c) fixed at 5 per cent (d) not exceeding 10 per cent

Q. 14. Regulation of labour and safety in mines and oilfields falls under

(a) Entry 22 of the Concurrent List (b) Entry 24 of the Concurrent List (c) Entry 55 of the Union List (d) Entry 23 of the State List

Q. 15. The minimum age for employment in a mine is

(a) 14 years (b) 15 years (c) 16 years (d) 18 years

Q. 16. Maximum daily hours for a person working below ground in a mine are

(a) 6 (b) 8 (c) 9 (d) 10

Q. 17. The Mines Act is enforced by

(a) State labour inspectors (b) the Directorate General of Mines Safety (c) the Chief Inspector of Factories (d) the Central Board of Trustees

5.2 Level 2 - Understanding

Q. 18. Work is not of an intermittent nature if it was performed for more than

(a) 60 days in the preceding 12 months (b) 90 days in the preceding 12 months (c) 120 days in the preceding 12 months (d) 180 days in the preceding 12 months

Q. 19. Which one of the following is not among the factors the Government must consider before prohibiting contract labour?

(a) Whether the work is of a perennial nature (b) Whether the work is ordinarily done through regular workmen (c) Whether the contractor is financially sound (d) Whether the work is sufficient to employ a considerable number of whole-time workmen

Q. 20. Where contract labour is prohibited in a particular work, the contract workers

(a) automatically become direct employees of the principal employer (b) are not automatically absorbed; there is no automatic absorption (c) must be paid retrenchment compensation by the Government (d) become employees of the appropriate Government

Q. 21. Which one of the following is expressly not a core activity under the OSH Code?

(a) The activity for which the establishment is set up (b) Any activity essential to the establishment's purpose (c) Security services (d) Production of the establishment's main product

Q. 22. A contractor fails to pay wages to contract labour. The position is that

(a) the workers have no remedy against the principal employer (b) the principal employer is liable to pay and may recover from the contractor (c) the appropriate Government pays and recovers from the contractor (d) the workers must sue the contractor alone

Q. 23. Under the EPF & MP Act, 1952, provident fund contributions in respect of workers engaged through a contractor

(a) are the contractor's liability alone (b) are the principal employer's liability, with a right to recover from the contractor (c) are not payable at all (d) are payable only if the contractor is registered

Q. 24. An employer contends that his contractor had agreed to make provident fund compliance and has absconded. This contention is

(a) a complete defence (b) no defence, since the principal employer's statutory liability is not displaced by the contract (c) a defence if the agreement was in writing (d) a defence if the contractor was licensed

Q. 25. The threshold under the Inter-State Migrant Workmen Act is very low because

(a) migrants are highly paid (b) a migrant is far from home, without local language, kin or knowledge of local authorities, and needs protection even in small groups (c) there are few migrants in India (d) the Act was intended to be symbolic

Q. 26. Journey allowance under the 1979 Act comprises

(a) the outward fare only (b) the outward and return fare, and wages during the journey period (c) a lump sum of Rs 75 (d) 50 per cent of monthly wages

Q. 27. The critical limitation of the 1979 Act, which the OSH Code addressed, was that it covered only workers

(a) employed in factories (b) recruited by or through a contractor, excluding those who migrated on their own (c) below a wage ceiling (d) employed in the organised sector

Q. 28. Portability under the OSH Code entitles a migrant worker to benefits under the

(a) public distribution system in either State, and the building cess fund in the State of employment (b) Employees' Provident Fund only (c) Employees' State Insurance only (d) Maternity Benefit Act only

Q. 29. The cost of construction for cess purposes excludes

(a) the cost of materials (b) the cost of land and compensation payable under the Employees' Compensation Act (c) the cost of labour (d) architects' fees

Q. 30. Why was a cess used to fund construction workers' welfare rather than employer contributions?

(a) Because construction employers are exempt from labour law (b) Because construction employment is project-based and transient, so no single employer has a continuing relationship capable of funding benefits (c) Because the workers are self-employed (d) Because the Constitution requires a cess

Q. 31. The design parallel to the construction cess in the Social Security Code is

(a) the employer's provident fund contribution (b) the aggregator's contribution of 1 to 2 per cent of turnover for gig and platform workers (c) the ESI contribution (d) gratuity

Q. 32. Maximum daily hours above ground in a mine are

(a) 8 (b) 9 (c) 10 (d) 12

5.3 Level 3 - Recruitment Test standard**Q. 33. Consider the following statements:**

- 1 Under the Contract Labour Act, the principal employer must register the establishment and the contractor must obtain a licence.
- 2 An establishment which is not registered may not employ contract labour.
- 3 Under the OSH Code a contractor obtains a single all-India licence.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 34. Match List-I with List-II and select the correct answer using the code below:

List-I (Statute)	List-II (Threshold)
A. Inter-State Migrant Workmen Act, 1979	1. 20 or more contract labour
B. Contract Labour Act, 1970	2. 10 or more building workers
C. Building and Other Construction Workers Act, 1996	3. 5 or more migrant workmen
D. Factories Act, 1948, with power	4. 10 or more workers

(a) A-3 B-1 C-2 D-4 (b) A-3 B-2 C-1 D-4 (c) A-1 B-3 C-2 D-4 (d) A-3 B-1 C-4 D-2

Q. 35. Which one of the following statements is not correct?

(a) Labour generally is on the Concurrent List (b) Regulation of labour and safety in mines is on the Union List (c) The Mines Act, 1952 may be supplemented by State legislation on mine safety (d) The appropriate Government for mines is the Central Government

Q. 36. An establishment engages 60 workers through a contractor to operate its main production line, work which is perennial and ordinarily done by regular workmen. Under the OSH Code, the position is that

(a) this is permissible without restriction (b) production is a core activity, so engagement of contract labour is prohibited save in the specified exceptional situations (c) it is permissible if the contractor is licensed (d) it is permissible if the workers consent

Q. 37. Consider the following statements about the Mines Act, 1952:

- 1 No person below eighteen years may be employed in a mine.
- 2 Daily hours below ground are limited to eight, and above ground to nine.
- 3 For continuous service, 190 days of work below ground constitutes a year.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 38. A migrant workman's monthly wages are Rs 12,000. His displacement allowance is

(a) Rs 75 (b) Rs 3,000 (c) Rs 6,000 (d) Rs 12,000

Q. 39. Which one of the following pairs is not correctly matched?

(a) Canteen for contract labour - 100 or more (b) Beneficiary registration age - 18 to 60 years (c) Construction cess - not less than 1 and not exceeding 2 per cent (d) Minimum age in a mine - 14 years

Q. 40. The most complete statement of why contract labour matters to an Assistant Provident Fund Commissioner is that

(a) contract labour is prohibited in core activities (b) "employee" under the EPF & MP Act includes a person employed by or through a contractor, so the principal employer bears the contribution liability with only a right of recovery against the contractor - which is why contract arrangements are the main site of provident fund evasion (c) contractors must be licensed (d) contract labour is entitled to a canteen at 100 workers

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	c	1970
2	b	20 or more contract labour on any day of the preceding twelve months
3	c	50 or more under the OSH Code
4	b	The principal employer registers the establishment
5	b	The contractor takes the licence . Registration attaches to the establishment, the licence to the contractor
6	b	100 or more contract labour
7	c	1979
8	a	Five or more - deliberately very low
9	b	50 per cent of monthly wages or Rs 75, whichever is higher , paid on recruitment and not refundable
10	b	10 or more building workers
11	b	90 days in the preceding twelve months
12	c	18 to 60 years
13	b	Not less than 1 and not exceeding 2 per cent of the cost of construction; 1 per cent has been notified
14	c	Entry 55 of the UNION List - not Concurrent. The commonest error in this area
15	d	18 years - higher than the 14-year rule for factories
16	b	Eight hours below ground; nine above
17	b	The Directorate General of Mines Safety , under the Ministry of Labour and Employment

6.2 Level 2

Q	Ans	Explanation
18	c	120 days in the preceding twelve months, or 60 days for seasonal work
19	c	The contractor's financial soundness is not one of the four factors. The four are: incidental or necessary to the industry, perennial nature, ordinarily done through regular workmen , and sufficient to employ a considerable number of whole-time workmen
20	b	No automatic absorption - settled in the Steel Authority of India decision (2001), which overruled the earlier contrary view
21	c	Security services are expressly not core, along with sanitation, canteen, loading and unloading, courier, construction and maintenance, gardening, housekeeping and transport
22	b	The principal employer is liable and may recover from the contractor. The worker is not left with a claim against a vanished contractor
23	b	The principal employer's liability, with a right of recovery. "Employee" under the Act includes a person employed by or through a contractor
24	b	No defence . A private contract cannot displace a statutory liability. This is the commonest defence you will hear in a Section 7A inquiry, and the answer to it

Q	Ans	Explanation
25	b	Vulnerability, not numbers. Distance from home, language, kin and knowledge of local authorities
26	b	Outward and return fare, plus wages for the journey period as if on duty
27	b	It covered only those recruited through a contractor , excluding the majority who migrated on their own - the gap exposed in 2020
28	a	PDS in either State , and the building cess fund in the State of employment
29	b	Land cost and Employees' Compensation Act compensation are excluded
30	b	Construction employment is project-based and transient , so the levy attaches to the activity rather than the employment relationship
31	b	The aggregator contribution of 1 to 2 per cent of turnover for gig and platform workers - an identical design: a levy on the activity, pooled for registered workers
32	b	Nine hours above ground

6.3 Level 3

Q	Ans	Explanation
33	d	All three correct - registration by the principal employer, the bar on employing contract labour without registration, and the Code's single all-India licence
34	a	A-3 migrants 5; B-1 contract labour 20; C-2 building workers 10; D-4 factory with power 10. Note the ascending vulnerability - the more vulnerable the workforce, the lower the threshold
35	c	Mine safety is exclusively central - Entry 55 of the Union List - so States may not legislate on it. The other three statements are correct
36	b	Production is a core activity , so contract labour is prohibited save in the specified exceptions - work ordinarily done through a contractor in the normal functioning of the establishment, work not requiring full-time workers, or a sudden increase in volume. Neither a licence nor consent cures engagement in a core activity
37	d	All three correct - age 18, hours 8 below and 9 above, and 190 days for continuous service below ground
38	c	50 per cent of Rs 12,000 = Rs 6,000 , which exceeds Rs 75, so the higher figure applies. The Rs 75 floor only bites at very low wages
39	d	The minimum age in a mine is 18 , not 14. Fourteen is the factory figure, and also the Article 24 floor. The other three pairs are correct
40	b	The complete answer names the statutory definition , the liability allocation , and the reason it matters in practice - contract arrangements are where evasion concentrates. The other options are true statements of law but do not answer the question asked

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F2.7 - CONTRACT LABOUR, MIGRANTS, CONSTRUCTION AND MINES

THE MANOEUVRE interpose a contractor → workers lose protection against the real beneficiary, liability becomes evadable, the enterprise gets labour without obligations · **THE LAW'S THREE ANSWERS: REGULATE · ABOLISH · ATTACH SECONDARY LIABILITY**

CONTRACT LABOUR 1970 contract labour = hired **in or for** an establishment **by or through a contractor, with or without** the principal employer's knowledge · threshold **20 or more (OSH Code 50)** · does not apply to **intermittent or casual work** · **NOT intermittent if performed more than 120 DAYS** in 12 months, or **60 DAYS** if seasonal

REGISTRATION vs LICENCE principal employer **REGISTERS** the establishment · contractor takes a **LICENCE** · unregistered establishment **may not employ** contract labour · **Code: single ALL-INDIA licence, 5 years**

PROHIBITION - FOUR FACTORS incidental or necessary to the industry · **PERENNIAL** nature · ordinarily done through **REGULAR WORKMEN** · sufficient to employ a considerable number of **WHOLE-TIME** workmen · consult the **Advisory Contract Labour Board** · **NO AUTOMATIC ABSORPTION on abolition - Steel Authority of India, 2001**

CORE ACTIVITY (OSH Code) contract labour **prohibited in core activities** · **NOT core:** sanitation · **security** · canteen and catering · **loading and unloading** · support hospitals/schools/guest houses · courier · civil and construction works · gardening · housekeeping and laundry · transport · anything **intermittent** · **EXCEPTIONS permitting core contract labour:** ordinarily done through a contractor in normal functioning · not requiring full-time workers · **sudden increase in volume** · **LIABILITY - THE KEY PARAGRAPH** contractor pays wages; **on default the PRINCIPAL EMPLOYER PAYS** and may **RECOVER** · same for welfare amenities · **UNDER THE EPF ACT "EMPLOYEE" INCLUDES A PERSON EMPLOYED BY OR THROUGH A CONTRACTOR**, so the **PRINCIPAL EMPLOYER OWES THE CONTRIBUTIONS**, with only a right of recovery · **the contractor's default or disappearance is NO DEFENCE** · *the enterprise that takes the benefit of the labour carries the statutory liability, whatever the contract says* · **canteen for contract labour at 100**

INTER-STATE MIGRANT 1979 recruited **by or through a contractor in one State** for an establishment **in another** · **THRESHOLD 5** - the lowest in the module, because of **vulnerability not numbers** · **DISPLACEMENT ALLOWANCE 50% of monthly wages or Rs 75, whichever HIGHER**, on recruitment, **not refundable** · **JOURNEY ALLOWANCE** outward **AND** return fare **PLUS wages for the journey** · also **accommodation, free medical facilities, protective clothing**, notice to authorities in **both** States, and report of **fatal accident or serious injury to both States and next of kin**

OSH CODE MIGRANT CHANGES definition widened to include those who **come on their own** ·

PORTABILITY - PDS in either State, building cess fund in the State of employment · **annual journey allowance** to the native place · **toll-free helpline and national database** · driven by the **2020 lockdown**, which exposed that self-migrating workers were outside the law

CONSTRUCTION - TWO ACTS OF 1996 regulatory Act + **Welfare Cess Act** · threshold **10 or more** building workers · excludes one's **own residence** below a prescribed cost · **BENEFICIARY: 18 to 60 years, 90 DAYS in the preceding 12 months** · Board benefits - pension, housing loan, group insurance, education, medical, maternity, accident · **CESS not less than 1% and not exceeding 2% of the COST OF CONSTRUCTION, 1% notified** · excludes land cost and Employees' Compensation · cess rather than contributions because employment is **PROJECT-BASED** and **TRANSIENT** · the same design as the Social Security Code's **AGGREGATOR CONTRIBUTION** of 1-2% of turnover for gig workers

MINES ACT 1952 MINE SAFETY IS ENTRY 55 OF THE UNION LIST, NOT CONCURRENT · exclusively central · appropriate Government = **CENTRAL** · enforced by the **DIRECTORATE GENERAL OF MINES SAFETY (DGMS)** under the **Ministry of Labour and Employment** · **48 a week** · **9 above ground, 8 BELOW ground** · spread-over **12** · **NO PERSON BELOW 18** (contrast factories: **14**, and **Art 24** sets the floor) · women **prohibited below ground**, above ground **6 a.m. to 7 p.m.** under 1952, **night work with consent** under the Codes · leave **1 per 20 days** adult, **1 per 15** under 18 · **continuous service 190 DAYS below ground** · **annual free health examination** for older workers in mines, docks and construction under the OSH Code

THRESHOLD LADDER - ASCENDING VULNERABILITY migrants **5** · **construction 10** · **factory with power 10** · **contract labour 20** · **factory without power 20** · **OSH contract labour 50**

LEFT DELIBERATELY BLANK the **Mines Act Special Officer notice period** (2023) - unverified, not guessed

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F2.7 - INDIRECT EMPLOYMENT

REGULATE · ABOLISH · SECONDARY LIABILITY

PRINCIPAL EMPLOYER REGISTERS · CONTRACTOR IS LICENSED · Code = **single all-India licence**

THRESHOLDS migrants **5** · **construction 10** · **contract labour 20** (Code **50**) · canteen for contract labour **100**

NOT INTERMITTENT ABOVE 120 DAYS (60 seasonal)

FOUR ABOLITION FACTORS necessary/incidental · **perennial** · **regular workmen** · **whole-time** · **NO AUTOMATIC ABSORPTION (SAIL 2001)**

NOT CORE sanitation · security · canteen · loading · courier · construction · gardening · housekeeping · transport

THE ONE THAT MATTERS EPF "employee" INCLUDES workers engaged **THROUGH A CONTRACTOR** → the **PRINCIPAL EMPLOYER OWES THE PF**, with only a right of recovery. The contractor's default is **NO DEFENCE**.

MIGRANTS displacement 50% of monthly wages or Rs 75, higher · **journey = both fares + wages** · Code adds **self-migrants, portability, annual journey allowance, helpline**

CONSTRUCTION beneficiary 18-60, 90 days · **cess 1-2% of cost of construction, 1% notified**, excludes **land** · *cess because employment is transient - same idea as the gig aggregator 1-2% of turnover*

MINES = UNION LIST ENTRY 55 · DGMS · 48 week · 9 above / 8 BELOW · AGE 18 (factories 14) · 190 days below ground

BLANK BY DESIGN Mines Act Special Officer notice period - verify it yourself, do not guess

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F2.8 - Child, Adolescent, Women and Bonded Labour: the protective statutes, the two ages of 14 and 18, the Maternity Benefit Act as amended in 2017, POSH, and the Bonded Labour System (Abolition) Act 1976 - which is Article 23 in statutory form.